and easy returns, all play an important role in building confidence. Smaller-city consumers are moving from browsing aspirational products to confidently transacting, provided the platform offers the assurance of a trusted luxury destination," adds Asthana.

The Collective, the multi-brand luxury fashion retail concept operated by Aditya Birla Fashion and Retail Ltd, too, is expanding beyond metros. "Non-metro India has been central to The Collective from early on, and its weight is increasing. It continues to grow in double digits every year," says Pranchal Srivastava, Chief Business Officer for The Collective and International Brands. E-commerce represents about one-fifth of The Collective's total business, and roughly half of online sales come from Tier-II and Tier-III markets, he adds.

The retailer has expanded its physical network to Ludhiana and Patiala. "Several small-city stores have matured faster than anticipated. A few perform at levels comparable to some established Tier-I stores. The common thread is local wealth, active social calendar and customers who already travel and buy luxury," says Srivastava. The average transaction in smaller cities is 60-70% of metro levels. "The real difference is frequency: metro customers buy more often, while non-metro customers buy for larger, planned occasions," he says.

WhatsApp consultations, video appointments, personal styling and private previews are important channels. Srivastava says assisted shopping produces higher-value orders. Alongside business families, demand is coming from professionals, entrepreneurs and younger members of established business households. "We look at customer density, average ticket size, repeat rate, HNI concentration and quality of retail infrastructure, particularly mall or high street. Online demand tells us when a market is ready, and the store is how we deepen it," says Srivastava.

LUXURY IN A CAR

For Mercedes-Benz India, which operates 160 outlets in 60 cities, emerging metros are long-term growth drivers. It added six customer touchpoints in the first half of 2026, including in Bhopal, Raipur and Visakhapatnam, followed by Varanasi. Managing Director and Chief Executive Santosh Iyer says the company is expanding or upgrading facilities in Bhopal, Raipur, Agra, Kanpur, Patna and Varanasi. "Mercedes-Benz has a two-tier network expansion strategy—qualitative expansion in existing metros and inaugurating new luxury facilities or upgrading existing outlets in emerging markets," he says.



Iyer estimates luxury-car penetration in leading metros at more than 2% compared with 0.4-0.8% in emerging metros and satellite markets. The lower base means room for faster growth. He says customers outside the largest cities are also well travelled and informed. "Premiumisation is well-established with customers increasingly preferring higher variants with exclusive appointments and individualisation options. In January–September 2026, demand for top-end luxury portfolio grew 13%, contributing more than 25% of sales. Our Mercedes-AMG portfolio grew 18%, while approximately 75% of our top-end luxury vehicles sold were personalised. We are also witnessing interest in top-end electric luxury mobility, with EQS Maybach SUV growing 68% YoY."

Tier-II and Tier-III markets are important for Audi India, too. It currently has 28 dealerships, 41 service centres and 27 Audi Approved: Plus facilities, and aims to increase its new-car showrooms to 40 by the end of 2027, focusing significantly on Tier-II and Tier-III markets. "Our focus is on identifying markets with strong potential and building a sustainable presence through the right retail and